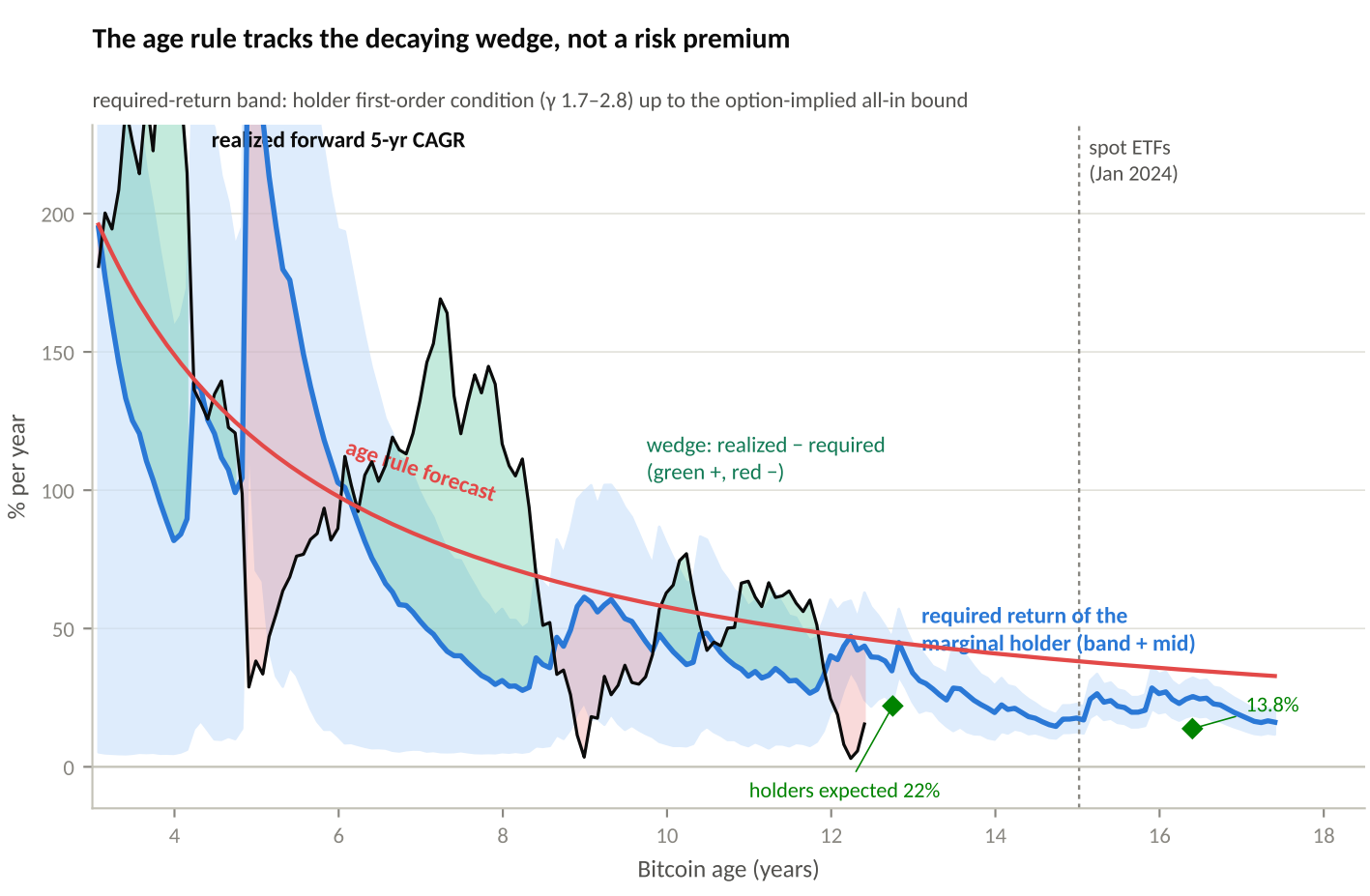
The age rule tracks the decaying wedge, not a risk premium
required-return band: holder first-order condition (γ 1.7–2.8) up to the option-implied all-in bound
realized forward 5-yr CAGR
spot ETFs
(Jan 2024)
age rule forecast
wedge: realized − required
(green +, red −)
required return of the
marginal holder (band + mid)
13.8%
holders expected 22%
% per year
200
150
100
50
0
4
6
8
10
12
14
16
18
Bitcoin age (years)